

common stocks.) But two years later the earnings had dropped off by nearly 50% and the price by *four-fifths*, to 49.[†]

The reader will understand from these instances why we regard growth stocks as a whole as too uncertain and risky a vehicle for the defensive investor. Of course, wonders can be accomplished with the right individual selections, bought at the right levels, and later sold after a huge rise and before the probable decline. But the average investor can no more expect to accomplish this than to find money growing on trees. In contrast we think that the group of large companies that are relatively unpopular, and therefore obtainable at reasonable earnings multipliers,^{*} offers a sound if unspectacular area of choice by the general public. We shall illustrate this idea in our chapter on portfolio selection.

Portfolio Changes

It is now standard practice to submit all security lists for periodic inspection in order to see whether their quality can be improved. This, of course, is a major part of the service provided for clients by investment counselors. Nearly all brokerage houses are ready to make corresponding suggestions, without special fee, in return for the commission business involved. Some brokerage houses maintain investment services on a fee basis.

Presumably our defensive investor should obtain—at least once a year—the same kind of advice regarding changes in his portfolio as he sought when his funds were first committed. Since he will have little expertness of his own on which to rely, it is essential that he entrust himself only to firms of the highest reputation; otherwise he may easily fall into incompetent or unscrupulous hands. It is important, in any case, that at every such consultation he make clear to his adviser that he wishes to adhere closely to the four rules of common-stock selection given earlier in this chapter. Incidentally, if his list has been competently selected in the first instance, there should be no need for frequent or numerous changes.[†]

Dollar-Cost Averaging